What is an RRSP?

The Registered Retirement Savings Plan (RRSP) is Canada's primary retirement savings vehicle. Contributions are tax-deductible — meaning you get a tax refund today. Growth inside the RRSP is tax-sheltered. Withdrawals in retirement are taxed as income, but at a lower rate because your income is typically lower in retirement.

> *The RRSP is most powerful for high earners. If you contribute in a high-income year and withdraw in a low-income year (retirement), the tax arbitrage is significant.*

Contribution Rules

Rule	Detail
Annual limit	18% of prior year earned income minus your Pension Adjustment (PA). Check your NOA for your exact limit.
2026 maximum	$33,810 — your personal limit may be lower depending on your income
Deadline	March 2, 2026 to claim deduction for the 2025 tax year (first 60 days of the year)
Unused room carryover	Unused RRSP room accumulates indefinitely. You can catch up any time before age 71.
Over-contribution	$2,000 lifetime buffer allowed. Beyond that: 1%/month penalty. CRA tracks via T1028.
Spousal RRSP	Contribute to a spousal RRSP using your own deduction room — the growth and withdrawals belong to your spouse, splitting retirement income.
Conversion deadline	Must convert to RRIF by December 31 of the year you turn 71. Minimum annual withdrawals apply.
Home Buyers' Plan	Withdraw up to $60,000 ($120,000/couple) tax-free for a first home purchase. Must repay over 15 years.

Tax Implications — RRSP

Income Type	Inside RRSP	Tax Benefit	CRA Line
Contribution	Tax deduction on contribution	Refund at your marginal rate	Line 20800
Capital Gains	Tax-deferred — no annual tax	Compound without annual drag	None (until withdrawal)
Canadian Eligible Dividends	Tax-deferred — no annual tax	Dividend tax credit NOT available on withdrawal	None (until withdrawal)
US/Foreign Dividends	0% IRS withholding — Canada-US treaty applies	Saves 15% IRS withholding vs TFSA/Margin	None (until withdrawal)
Interest Income	Tax-deferred — no annual tax	Shields interest from full marginal rate	None (until withdrawal)
RRSP Withdrawals	Taxed as ordinary income	20% withholding on withdrawal, reconciled at tax time	Line 12900

Canada-US Tax Treaty: US dividends and US ETF distributions inside an RRSP have ZERO IRS withholding. This is the most important reason to hold US stocks in your RRSP — not your TFSA.

The RRSP Tax Refund — Make It Work For You

Scenario	Amount
RRSP contribution	$10,000
Your marginal tax rate (example)	28.20%
Tax refund received	$2,820
Net cost of contributing $10,000	$7,180
RRSP now worth	$10,000 — growing tax-deferred

Always reinvest your RRSP refund. The cycle of Contribute → Get refund → Reinvest refund is one of the most tax-efficient wealth-building strategies available to Canadians.

How to Log RRSP Transactions in the Tracker

Transaction	Account Col	Type Col	Other Fields
Deposit money	RRSP	Contribution	Amount in Col K. Deductible on Line 20800.
Buy ETF or stock	RRSP	Buy	Ticker (NASDAQ:KO or TSE:XSP), Shares, Price/Share
Sell ETF or stock	RRSP	Sell	Ticker, Shares sold, Sale price
Cash dividend	RRSP	Dividend	Ticker, Amount in Col K. USD dividends use FX rate.
DRIP	RRSP	DRIP	Ticker, New shares, Price/Share
RRSP withdrawal	RRSP	Withdrawal	Amount in Col K. Add to income on Line 12900.

For educational purposes only. Not financial or tax advice. Always verify current RRSP rules and dollar limits on canada.ca before making financial decisions.